

Stellus Capital (SCM): The Floating-Rate Squeeze

Stellus Capital trades at **\$8.65 (\$248M Market Cap)**, offering an optical **11.6% dividend yield** trading at **0.68× NAV**.

The Forensic Kill: SCM carries **\$717M in net unhedged floating-rate asset exposure** against fixed debentures. A 100bp Fed rate cut removes **-\$0.25/share in annual net investment income**—cutting a quarter of the dividend that supports the stock.

OPTICAL DIVIDEND

11.6% Yield at \$8.65

Trading at 0.68x NAV

THE FATAL RISK

-\$0.25/sh per 100bp Cut

\$717M unhedged floating debt

VERDICT

FLAT (Rate-Beta Kill)

Avoid unhedged long-SOFR exposure

The Key Financial Metrics in One View



EXECUTION ARCHITECTURE

Execution & Sizing Architecture

TRANCHE	TARGET LEVEL	ALLOCATION	EXECUTION RATIONALE
Re-Court Gate	SBIC III Debenture Draw	0.00% (FLAT)	Re-court only if 40-APP/A granted and low-cost debentures drawn.

All adjudications executed non-destructively under SignalOS Court Doctrine.